

Depreciable Basis and Investment Properties

You've likely heard the terms "depreciation" and "basis," so let's get those two terms defined.

Defining Depreciation and Basis

Depreciation

Depreciation is defined as an asset's reduction in value. We'll be talking about **tax depreciation** here, but there's also **economic depreciation**, which an accountant or appraiser may use for various purposes.

- Tax depreciation is a theoretical loss in value over time as a result of typical wear and tear. It's used to calculate a business deduction based on an assumption that property has a limited service life because of depreciation.
- Economic depreciation is an actual loss in value, whether it's from wear and tear or from external factors (for example, a fire damaged the building, there was a downturn in the local economy, or the business climate saw unfavorable changes).

Basis

A property's **basis** is essentially its acquisition cost, including the sales price and related acquisition fees, and any capital improvements, like renovations or additions.

An investor uses the property's basis to figure a number of tax-related things, such as the amount of gain or loss on a sale. It's called **depreciable basis** when it's used to calculate the tax deduction allowed for its depreciation each year.

More About Tax Depreciation

First off, tax depreciation is limited to investment properties—you can't do this on your personal residence or your vacation home. The land itself can't be depreciated, either, because it never suffers from "wear and tear" over time. The depreciable basis of an investment property excludes the value of the land it sits on. Debt service (the cost of repaying the loan) is not depreciable, and certain commercial assets may depreciate even faster in some instances.

Tax Depreciation: Good for Investors

Investors like tax depreciation for a couple of reasons:

- It's a form of cost recovery. The investor recovers the cost (that is, the basis of the asset) over the asset's useful life through tax deductions.
- It allows investors to shelter some of their earned investment income. So not only is the property **appreciating** in value (meaning it's worth more than the investor originally paid for it), and tenants are paying the mortgage in ever-increasing lease payments (so the investor's **cash flow** is growing), but the investor also gets to offset some of that income by depreciating the value of the property over time. Sweet!

And whether it likes it or not, the IRS actually requires investors to take their depreciation—they don't have a choice in the matter.

Recovery Period: Residential Income vs. Commercial

IRS rules say that residential income-producing properties are depreciated over 27 ½ years, while commercial properties are depreciated over a span of 39 years. That's called the **recovery period**.

You're allowed to prorate for partial years of ownership. Once you've reached the end of the recovery period for a property, you can no longer claim the deduction for depreciation.

Formula for Calculating the Basis

Remember, the basis includes the sales price, acquisition costs, and any capital improvements, like renovations or additions. So the calculation for determining basis is:

$$\text{Sales price} + \text{acquisition costs} + \text{capital improvements} = \text{basis}$$

Formula for Straight-Line Depreciation

In general, tax deductions are calculated using a method called straight-line depreciation.

$$\text{Basis} \div \text{recovery period} = \text{allowed annual tax deduction}$$

Putting it All Together

Let's look at some examples of calculating the amount of depreciation an investor would be allowed to take each year.

Example

The building's basis is \$500,000 (the investor actually paid \$600,000, but the basis excludes the value of the land). It's a commercial property, so it's depreciated over 39 years. The investor has owned the property for five years, and since he hasn't done anything to require an adjustment to the basis (such as capital improvements), his tax deduction for depreciation is the same each year: $\$500,000 \div 39 = \$12,820.51$

Example

Ron owns a duplex, and he rents out both units. The depreciable basis of the property is \$250,000. His annual tax deduction using the straight-line method of depreciation and a recovery period of 27.5 years is: $\$250,000 \div 27.5 = \$9,090.91$

A Final Warning

We're sure we don't need to say this, but: Our discussion of depreciable basis doesn't constitute tax advice. The IRS rules are complicated, so always consult a tax professional for actual tax calculations.